their last crop. It is not unusual to witness alternate bouts of increased and reduced sowing by farmers depending upon the prevalent price at the time of sowing. Often, farmers end up betting wrong.

Agriculture Marketing Regulation Started in the Nineteenth Century

Agriculture marketing regulatory interventions in India started from the other end: the protection of consumer interests and streamlining supplies of agricultural raw materials to industries.

The first regulated market, called Karanja, was established in 1886 in Hyderabad to ensure availability of pure cotton at reasonable prices for the textile mills of Manchester. The first legislation to provide for regulation of agriculture markets was the Berar Cotton and Grain Market Act, 1887, which empowered the British Resident to declare any place in the assigned district a market for sale and purchase of agricultural produce and constitute a committee to supervise the regulated markets. This law seeded the agriculture produce mandis and APMC of today.

This Act became the model for enactment of similar legislations in other parts of the country. Quite a few states enacted such legislations in the sixty-year period before Independence.

Adoption of APMCs and Legislation for Regulation of Markets

Independent India liked the approach of regulated APMCs.

The First Plan promoted the concept and encouraged more states to go in for such regulated agriculture produce markets. The Second Plan rued the insufficient progress made in this regard. Noting the rationale of the regulated APMCs, it encouraged the states to set up such markets and laid targets for their expansion in the country.